

Yale SCHOOL OF THE ENVIRONMENT

May 27, 2026

Dear Editor(s),

Please consider “Natural Capital and the Measurement of Productivity” for publication at American Economic Review: Insights (AER:I). How best to account for the role of natural capital in the economy is a longstanding question. Recent (2025) changes to the System of National Accounts guidance along with “Beyond GDP” policy pushes globally have made understanding the role of natural capital in production especially salient. In the manuscript, we give a theoretical basis for how omitting natural capital biases estimates of total factor productivity (TFP) growth. Our estimates of the effects of additional natural capital measurement on the margin for a representative panel of 100 countries suggest that current practices that omit natural resources bias existing TFP estimates at scales that are important for budget forecasts and other long-run macroeconomic projections. The manuscript includes an appendix, intended for online-only publication. We recommend Tatyana Deryugina or Seema Jayachandran from among the coeditors at AER:I.

All data we use in this project are publicly available. All materials used as inputs to the manuscript, including raw data and computer code, will be made public at the time of publication and can be made available to either editors or referees if needed. The manuscript is not under review or consideration elsewhere. Please contact me with any further questions.

Sincerely,

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